HBE Capital

10 questions to ask before buying any mutual fund

A short checklist from Hitesh Eidnani, Managing Partner, HBE Capital. Use it before every new investment, and once a year for the funds you already hold.

1. What is this money for, and when will I need it?

The goal and the date decide almost everything else. Money needed within 3 years doesn't belong in equity funds; goals 7+ years away can carry more equity.

2. Which category is this fund in, and why that category?

Large cap, flexi cap, mid cap, small cap, hybrid and debt behave very differently. Pick the category for your goal first, then a fund within it.

3. How has it done against its benchmark over 5, 7 and 10 years?

One strong year means little. Look for funds that have beaten their benchmark (Total Return Index) over several long periods.

4. How much did it fall in bad years?

Check the worst drawdown and how it did in years like 2008, 2011, 2018 and 2020. Ask yourself honestly whether you could have held on.

5. What does it cost?

Compare the expense ratio with other funds in the same category. Costs compound just like returns. Understand the difference between Direct and Regular plans.

6. Who manages it, and for how long?

A long, steady record under the same manager and process is worth more than a recent hot streak under a new one.

7. How big is the fund?

Very small funds can be risky to run; very large small-cap funds can find it hard to stay nimble. Size should fit the category.

8. Does it overlap with what I already own?

Two funds holding the same stocks don't diversify you. Check the top holdings before adding another fund.

9. What is the exit load and the tax on gains?

Know the cost of leaving early and how gains are taxed before you invest, so they don't surprise you later.

10. What will I do if it falls 20%?

Decide now, in calm conditions. If the answer is 'sell', choose a less volatile fund or invest a smaller amount.

Check the numbers yourself

FundNavigator, our free tool, shows returns against benchmarks, calendar-year performance, risk and rankings for 2,000+ mutual funds, SIFs and PMS: hbecapital.net/funds

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